

GLOBAL ART MARKET OUTLOOK: Q1 2026

GLOBAL MARKET SIZE	AUCTION TURNOVER	US AUCTION SALES	WORKS SOLD
\$59.6B ▲ 4% YoY	\$11.1B ▲ 12% YoY	\$3.17B ▲ 23% YoY	867,000 Record Volume

Executive Summary

The first quarter of 2026 signals a definitive, albeit selective, recovery in the global art market. Following a period of correction, 2025 concluded with a 4% rise in total sales to \$59.6 billion, driven by a 12% surge in auction turnover. The US market has reclaimed its dominance with a robust 23% year-over-year increase in auction sales, ending a two-year contraction.

Investment capital is displaying a clear "flight to quality," favoring historical, blue-chip assets over speculative ultra-contemporary works. Institutional confidence is being bolstered by record levels of third-party guarantees (78% of NY evening sales) and a significant 54% surge in second-half activity. While the middle market remains cautious, the high-end segment (> \$10M) and accessible print market (+16%) are outperforming.

Global Market Overview

The art market has demonstrated resilience amidst macroeconomic shifts. Global auction turnover reached \$11.1 billion, up 12% from 2024. This growth was supported by record volume, with 867,000 lots sold, indicating broad market participation despite selectivity at the top end.

A key highlight was the sale of Gustav Klimt's *Portrait of Elisabeth Lederer* for \$236.36 million, setting a new auction record and underscoring the enduring appetite for masterpiece-quality works.

REGIONAL PERFORMANCE ANALYSIS

REGION	AUCTION SALES (EST.)	YOY CHANGE	MARKET SHARE
United States	\$3.17 Billion	▲ 23%	44% (Global) / 69% (Auction)
United Kingdom	\$1.5 Billion	▲ 3.0%	13.4%
China	\$1.76 Billion	▼ 5.4%	15.8%

REGION	AUCTION SALES (EST.)	YOY CHANGE	MARKET SHARE
France	\$945 Million	▲ 26%	8.5%

US MARKET RESURGENCE

The US market's 23% rebound is the first annual increase since 2022. Growth is bifurcated: Impressionist & Modern sectors are driving value, while Contemporary segments continue to reprice. The Western US now accounts for 35% of domestic art spending.

Q1 2026 Auction Highlights

LONDON SPRING MARQUEE SALES (MARCH)

The March auction season in London served as a critical barometer for market health. Christie's led with a combined total of **£197.5 million** across three sessions, characterized by highly orchestrated sales and managed risk.

- Christie's:** Totaled £197.5M (\$263.8M). Top lot: René Magritte's *Les grâces naturelles* (£8.52M).
- Phillips:** Realized £12.96M, strategically focusing on undervalued regional markets.
- Top Lot:** Henry Moore's *King and Queen* achieved £26.35M, signaling strong demand for British modernism.

JANUARY MARKET SIGNALS

Early 2026 activity indicated a preference for "safe" assets with established liquidity.

- Hi American Art:** The William L. Koch Collection realized \$56.2 million, 30% above low estimates.
- Print Market Strength:** Phillips' January Editions sale brought in £2.28M (50% above estimate). Warhol's *Queen Elizabeth II* hammered at £180,000.

10 Key Investment Trends

Arthur James Advisory has identified ten structural shifts shaping the investment landscape for 2026.

- Flight to Quality:** Capital is rotating out of speculative "wet paint" markets into established Impressionist and Modern sectors (+15.4% growth in the West).
- Guarantees at Record Highs:** To mitigate risk, 78% of value in New York evening sales is now guaranteed. London saw a 52% YoY rise in third-party guarantees.
- Women Artists Outperforming:** Sales value for women artists has risen 105% over the last decade, with higher resale returns than male counterparts.
- Growth of Private Sales:** Auction houses are pivoting strategies, with private sales now accounting for 20% of revenue (up from 12% a decade ago).
- Single-Owner Collections:** Provenance is king. Single-owner sales accounted for 43% of total revenue in late 2025 major auctions.

6. **Sector Divergence:** Old Masters (+9%) and Modern (+11%) are growing, while Ultra-Contemporary remains stagnant as pricing corrects.
7. **Strength in the "Bottom Quintile":** Works priced under \$50,000 are seeing the strongest sell-through rates and price appreciation.
8. **Digital Art Resilience:** Despite crypto volatility, digital art has stabilized as the #3 category by spending volume for HNW collectors.
9. **Print Market Liquidity:** The prints and multiples segment grew 16% YoY, offering an accessible, liquid entry point for investors.
10. **Art Fair Dominance:** Fairs now account for 35% of dealer turnover, their highest level since 2022.

Market Outlook: Q2 2026

We project continued stability with moderate growth for Q2 2026. The "correction" phase appears largely complete for blue-chip assets, presenting attractive entry points before the next upward cycle. Investors should focus on:

- **Blue-Chip Prints:** High liquidity and 16% growth make this a defensive portfolio anchor.
- **Undervalued Modernism:** Post-war assets that have not yet participated in the speculative boom.
- **Female Abstract Expressionists:** Continuing to see institutional repricing and market momentum.